



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

[HB 2100](#): small land subdivision; requirements

GRIFFIN FLOOR AMENDMENT

1. Makes a technical change.

ADDITIONAL COW
GRIFFIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2100
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 11, chapter 6, article 4, Arizona Revised
3 Statutes, is amended by adding section 11-834, to read:

4 11-834. Small land subdivision; requirements

5 A. NOTWITHSTANDING ANY OTHER LAW, THE BOARD OF SUPERVISORS OF EACH
6 COUNTY MAY ADOPT ORDINANCES AND REGULATIONS PURSUANT TO THIS SECTION THAT
7 ALLOW SMALL LAND SUBDIVISIONS OF SIX TO TEN LOTS OR PARCELS [FROM LANDS]
8 THAT ARE NOT SUBJECT TO AN ASSURED WATER SUPPLY REQUIREMENT PURSUANT TO
9 SECTION 45-576 OR A MANDATORY ADEQUATE WATER SUPPLY REQUIREMENT PURSUANT
10 TO SECTION 9-463.01 OR 11-823, ALL OF WHICH ARE TWO ACRES OR MORE IN SIZE.

11 B. THE COUNTY SHALL REQUIRE AN APPLICANT FOR A SMALL LAND
12 SUBDIVISION TO SUBMIT A SMALL LAND SUBDIVISION PUBLIC REPORT PURSUANT TO
13 SECTION 32-2183.07.

14 C. THE COUNTY SHALL REQUIRE AN APPLICANT FOR A SMALL LAND
15 SUBDIVISION TO ENSURE THAT EACH LOT OR PARCEL THAT IS PART OF THE SMALL
16 LAND SUBDIVISION HAS LEGAL ACCESS AS DEFINED IN SECTION 11-831.

17 D. IF THE BOARD OF SUPERVISORS OF A COUNTY AUTHORIZES THE USE OF
18 SMALL LAND SUBDIVISIONS PURSUANT TO SUBSECTION A OF THIS SECTION, THE
19 BOARD SHALL PROVIDE WRITTEN NOTICE OF THE ORDINANCE OR REGULATION THAT
20 AUTHORIZES THE USE OF SMALL LAND SUBDIVISIONS TO THE STATE REAL ESTATE
21 DEPARTMENT.

22 Sec. 2. Section 32-2101, Arizona Revised Statutes, is amended to
23 read:

24 32-2101. Definitions

25 In this chapter, unless the context otherwise requires:

26 1. "Acting in concert" means evidence of collaborating to pursue a
27 concerted plan.

1 2. "Address of record" means any of the following:

2 (a) The address where a licensee practices or is otherwise
3 employed.

4 (b) A licensee's residential address.

5 (c) The address of a licensee's statutory agent who is registered
6 as the licensee's statutory agent with the corporation commission. This
7 subdivision applies only if notice of the statutory agent is given to the
8 department pursuant to section 32-2126.

9 3. "Advertising" means attempting by publication, dissemination,
10 exhibition, solicitation or circulation, oral or written, or for broadcast
11 on radio or television to induce directly or indirectly any person to
12 enter into any obligation or acquire any title or interest in lands
13 subject to this chapter, including the land sales contract to be used and
14 any photographs, drawings or artist's presentations of physical conditions
15 or facilities existing or to exist on the property. Advertising does not
16 include:

17 (a) Press releases or other communications delivered to newspapers,
18 periodicals or other news media for general information or public
19 relations purposes if no charge is made by the newspapers, periodicals or
20 other news media to publish or use any part of these communications.

21 (b) Communications to stockholders as follows:

22 (i) Annual reports and interim financial reports.

23 (ii) Proxy materials.

24 (iii) Registration statements.

25 (iv) Securities prospectuses.

26 (v) Applications for listing of securities on stock exchanges.

27 (vi) Prospectuses.

28 (vii) Property reports.

29 (viii) Offering statements.

30 4. "Affiliate" means a person who, directly or indirectly through
31 one or more intermediaries, controls, is controlled by or is under common
32 control with the person specified.

33 5. "Associate broker" means a licensed broker who is employed by
34 another broker. Unless otherwise specifically provided, an associate
35 broker has the same license privileges as a salesperson.

36 6. "Barrier" means a natural or man-made geographic feature that
37 prevents parcels of land from being practicably, reasonably and
38 economically united or reunited and that was not caused or created by the
39 owner of the parcels.

40 7. "Blanket encumbrance":

41 (a) Means either:

42 (i) Any mortgage, any deed of trust or any other encumbrance or
43 lien that secures or evidences the payment of monies and that affects more
44 than one lot or parcel of subdivided land.

45 (ii) An agreement that affects more than one lot or parcel by which
46 the subdivider holds the subdivision under an option, contract to sell or
47 trust agreement.

1 (b) Does not include taxes and assessments that are levied by
2 public authority.

3 8. "Board" means the real estate advisory board.

4 9. "Broker", when used without modification, means a person who is
5 licensed as a broker under this chapter or who is required to be licensed
6 as a broker under this chapter.

7 10. "Business broker" means a real estate broker who acts as an
8 intermediary or agent between sellers or buyers, or both, in the sale or
9 purchase, or both, of businesses or business opportunities where a lease
10 or sale of real property is either a direct or incidental part of the
11 transaction.

12 11. "Camping site" means a space that is designed and promoted for
13 the purpose of locating any trailer, tent, tent trailer, pickup camper or
14 other similar device used for camping.

15 12. "Cemetery" or "cemetery property" means any one, or a
16 combination of more than one, of the following in a place that is used, or
17 intended to be used, and dedicated for cemetery purposes:

18 (a) A burial park, for earth interments.

19 (b) A mausoleum, for crypt or vault entombments.

20 (c) A crematory, or a crematory and columbarium, for cinerary
21 interments.

22 (d) A cemetery plot, including interment rights, mausoleum crypts,
23 niches and burial spaces.

24 13. "Cemetery broker" means a person other than a real estate
25 broker or real estate salesperson who, for another, for compensation:

26 (a) Sells, leases or exchanges cemetery property or interment
27 services of or for another, or on the person's own account.

28 (b) Offers for another or for the person's own account to buy,
29 sell, lease or exchange cemetery property or interment services.

30 (c) Negotiates the purchase and sale, lease or exchange of cemetery
31 property or interment services.

32 (d) Negotiates the purchase or sale, lease or exchange, or lists or
33 solicits, or negotiates a loan on or leasing of cemetery property or
34 interment services.

35 14. "Cemetery salesperson" means a natural person who acts on the
36 person's own behalf or through and on behalf of a professional limited
37 liability company or a professional corporation engaged by or on behalf of
38 a licensed cemetery or real estate broker, or through and on behalf of a
39 corporation, partnership or limited liability company that is licensed as
40 a cemetery or real estate broker, to perform any act or transaction
41 included in the definition of cemetery broker.

42 15. "Commissioner" means the state real estate commissioner.

43 16. "Common promotional plan" means a plan, undertaken by a person
44 or a group of persons acting in concert, to offer lots for sale or lease.
45 If the land is offered for sale by a person or group of persons acting in
46 concert, and the land is contiguous or is known, designated or advertised
47 as a common unit or by a common name, the land is presumed, without regard

1 to the number of lots covered by each individual offering, as being
2 offered for sale or lease as part of a common promotional plan. Separate
3 subdividers selling lots or parcels in separately platted subdivisions
4 within a master planned community shall not be deemed to be offering their
5 combined lots for sale or lease as part of a common promotional plan.

6 17. "Compensation" means any fee, commission, salary, monies or
7 other valuable consideration for services rendered or to be rendered as
8 well as the promise of consideration whether contingent or not.

9 18. "Contiguous":

10 (a) Means lots, parcels or fractional interests that share a common
11 boundary or point.

12 (b) Does not include lots, parcels or fractional interests that are
13 separated by either of the following:

14 (i) A barrier.

15 (ii) A road, street or highway that has been established by this
16 state or by any agency or political subdivision of this state, that has
17 been designated by the federal government as an interstate highway or that
18 has been regularly maintained by this state or by any agency or political
19 subdivision of this state and has been used continuously by the public for
20 at least the last five years.

21 19. "Control" or "controlled" means a person who, through
22 ownership, voting rights, power of attorney, proxy, management rights,
23 operational rights or other rights, has the right to make decisions
24 binding on an entity, whether a corporation, a partnership or any other
25 entity.

26 20. "Corporation licensee" means a lawfully organized corporation
27 that is registered with the corporation commission and that has an officer
28 licensed as the designated broker pursuant to section 32-2125.

29 21. "Department" means the state real estate department.

30 22. "Designated broker" means a natural person who is licensed as a
31 broker under this chapter and who is either:

32 (a) Designated to act on behalf of an employing real estate,
33 cemetery or membership camping entity.

34 (b) Doing business as a sole proprietor.

35 23. "Developer":

36 (a) Means a person who offers real property in a development for
37 sale, lease or use, either immediately or in the future, on the person's
38 own behalf or on behalf of another person, under this chapter.

39 (b) Does not include a person whose involvement with a development
40 is limited to listing property within the development for sale, lease or
41 use.

42 24. "Development" means any division, proposed division or use of
43 real property that the department has authority to regulate, including
44 subdivided and unsubdivided lands, cemeteries, condominiums, timeshares,
45 membership campgrounds and stock cooperatives.

46 25. "Distance learning" means continuing education or prelicensure
47 education that is an online, planned learning experience with a geographic

1 separation that may be synchronous or asynchronous, that does not require
2 real-time interaction between a student and an instructor and that uses a
3 platform with self-paced or prerecorded lessons and materials that a
4 student can access via the internet to proceed at the student's own pace.

5 26. "Employing broker" means a person who is licensed or is
6 required to be licensed as a:

7 (a) Broker entity pursuant to section 32-2125, subsection A.

8 (b) Sole proprietorship if the sole proprietor is a broker licensed
9 pursuant to this chapter.

10 27. "Fractional interest" means an undivided interest in improved
11 or unimproved land, lots or parcels of any size created for the purpose of
12 sale or lease and evidenced by any receipt, certificate, deed or other
13 document conveying the interest. Undivided interests in land, lots or
14 parcels created in the names of a husband and wife as community property,
15 joint tenants or tenants in common, or in the names of other persons who,
16 acting together as part of a single transaction, acquire the interests
17 without a purpose to divide the interests for present or future sale or
18 lease shall be deemed to constitute only one fractional interest.

19 28. "Improved lot or parcel" means a lot or parcel of a subdivision
20 on which there is a residential, commercial or industrial building or
21 concerning which a contract has been entered into between a subdivider and
22 a purchaser that obligates the subdivider directly, or indirectly through
23 a building contractor, to completely construct a residential, commercial
24 or industrial building on the lot or parcel within two years after the
25 date on which the contract of sale for the lot is entered into, or for a
26 condominium as defined in section 33-1202, within four years after the
27 date on which the contract for sale is entered into.

28 29. "Inactive license" means a license that is issued pursuant to
29 article 2 of this chapter to a licensee who is on inactive status during
30 the current license period and who is not engaged by or on behalf of a
31 broker.

32 30. "Lease" or "leasing" includes any lease, whether it is the
33 sole, the principal or any incidental part of a transaction.

34 31. "License" means the whole or part of any agency permit,
35 certificate, approval, registration, public report, charter or similar
36 form of permission required by this chapter.

37 32. "Licensee" means a person to whom a license for the current
38 license period has been granted under any provision of this chapter, and,
39 for the purposes of section 32-2153, subsection A, includes original
40 license applicants.

41 33. "License period" means the two-year period beginning with the
42 date of original issue or renewal of a particular license and ending on
43 the expiration date, if any.

44 34. "Limited liability company licensee" means a lawfully organized
45 limited liability company that has a member or manager who is a natural
46 person and who is licensed as the designated broker pursuant to section
47 32-2125.

1 35. "Live classroom course" means a course or instructional segment
2 delivered in either an in-person classroom instructional format or a
3 synchronous remote instructional format that allows students to observe
4 and participate remotely in an instructional segment via livestreaming.

5 36. "Lot reservation" means an expression of interest by a
6 prospective purchaser in buying at some time in the future a subdivided or
7 unsubdivided lot, unit or parcel in this state. In all cases, a
8 subsequent affirmative action by the prospective purchaser must be taken
9 to create a contractual obligation to purchase.

10 37. "Master planned community" means a development that consists of
11 two or more separately platted subdivisions and that is either subject to
12 a master declaration of covenants, conditions or restrictions, is subject
13 to restrictive covenants sufficiently uniform in character to clearly
14 indicate a general scheme for improving or developing real property or is
15 governed or administered by a master owner's association.

16 38. "Member" means a member of the real estate advisory board.

17 39. "Membership camping broker" means a person, other than a
18 salesperson, who, for compensation:

19 (a) Sells, purchases, lists, exchanges or leases membership camping
20 contracts.

21 (b) Offers to sell, purchase, exchange or lease membership camping
22 contracts.

23 (c) Negotiates or offers, attempts or agrees to negotiate the sale,
24 purchase, exchange or lease of membership camping contracts.

25 (d) Advertises or holds himself out as being engaged in the
26 business of selling, buying, exchanging or leasing membership camping
27 contracts or counseling or advising regarding membership camping
28 contracts.

29 (e) Assists or directs in procuring prospects calculated or
30 intended to result in the sale, purchase, listing, exchange or lease of
31 membership camping contracts.

32 (f) Performs any of the foregoing acts as an employee or on behalf
33 of a membership camping operator or membership contract owner.

34 40. "Membership camping contract" means an agreement that is
35 offered or sold in this state evidencing a purchaser's right or license to
36 use the camping or outdoor recreation facilities of a membership camping
37 operator and includes a membership that provides for this use.

38 41. "Membership camping operator":

39 (a) Means an enterprise, other than one that is tax exempt under
40 section 501(c)(3) of the internal revenue code of 1986, as amended, that
41 solicits membership paid for by a fee or periodic payments and has as one
42 of its purposes camping or outdoor recreation, including the use of
43 camping sites primarily by members.

44 (b) Does not include camping or recreational trailer parks that are
45 open to the general public and that contain camping sites rented for a per
46 use fee or a mobile home park.

1 42. "Membership camping salesperson" means a natural person who
2 acts on the person's own behalf or through and on behalf of a professional
3 limited liability company or a professional corporation engaged by or on
4 behalf of a licensed membership camping or real estate broker, or by or on
5 behalf of a corporation, partnership or limited liability company that is
6 licensed as a membership camping or real estate broker, to perform any act
7 or participate in any transaction in a manner included in the definition
8 of membership camping broker.

9 43. "Partnership licensee" means a partnership with a managing
10 general partner who is licensed as the designated broker pursuant to
11 section 32-2125.

12 44. "Permanent access", as required under article 4 of this
13 chapter, means permanent access from the subdivision to any federal, state
14 or county highway.

15 45. "Perpetual care" or "endowed care":

16 (a) Means maintaining and caring, in all places where interments
17 have been made, for the trees, shrubs, roads, streets and other
18 improvements and embellishments contained within or forming a part of the
19 cemetery.

20 (b) Does not include maintaining or repairing monuments, tombs,
21 copings or other man-made ornaments as associated with individual burial
22 spaces.

23 46. "Perpetual or endowed-care cemetery" means a cemetery in which
24 lots or other burial spaces are sold or transferred under the
25 representation that the cemetery will receive perpetual care or endowed
26 care free of further cost to the purchaser after payment of the original
27 purchase price for the lot, burial space or interment right.

28 47. "Person" means any individual, corporation, partnership or
29 company and any other form of multiple organization for carrying on
30 business, foreign or domestic.

31 48. "Private cemetery" means a cemetery or place that is not
32 licensed under article 6 of this chapter, where burials or interments of
33 human remains are made, in which sales or transfers of interment rights or
34 burial plots are not made to the public and in which not more than ten
35 interments or burials occur annually.

36 49. "Promotion" or "promotional practice" means advertising and any
37 other act, practice, device or scheme to induce directly or indirectly any
38 person to enter into any obligation or acquire any title or interest in or
39 use of real property subject to this chapter, including meetings with
40 prospective purchasers, arrangements for prospective purchasers to visit
41 real property, travel allowances and discount, exchange, refund and
42 cancellation privileges.

43 50. "Real estate" includes leasehold-interests and any estates in
44 land as defined in title 33, chapter 2, articles 1 and 2, regardless of
45 whether located in this state.

46 51. "Real estate broker" means a person, other than a salesperson,
47 who, for another and for compensation:

1 (a) Sells, exchanges, purchases, rents or leases real estate,
2 businesses and business opportunities or timeshare interests.

3 (b) Offers to sell, exchange, purchase, rent or lease real estate,
4 businesses and business opportunities or timeshare interests.

5 (c) Negotiates or offers, attempts or agrees to negotiate the sale,
6 exchange, purchase, rental or leasing of real estate, businesses and
7 business opportunities or timeshare interests.

8 (d) Lists or offers, attempts or agrees to list real estate,
9 businesses and business opportunities or timeshare interests for sale,
10 lease or exchange.

11 (e) Auctions or offers, attempts or agrees to auction real estate,
12 businesses and business opportunities or timeshare interests.

13 (f) Buys, sells, offers to buy or sell or otherwise deals in
14 options on real estate, businesses and business opportunities or timeshare
15 interests or improvements to real estate, businesses and business
16 opportunities or timeshare interests.

17 (g) Collects or offers, attempts or agrees to collect rent for the
18 use of real estate, businesses and business opportunities or timeshare
19 interests. This subdivision does not apply to a person who is not a
20 licensee, who works for a real estate broker or a real estate salesperson,
21 who collects in-person rent and related fees on behalf of the real estate
22 broker or real estate salesperson for the use of real estate as part of
23 the person's clerical duties and who provides a receipt when rent is paid.

24 (h) Advertises or holds himself out as being engaged in the
25 business of buying, selling, exchanging, renting or leasing real estate,
26 businesses and business opportunities or timeshare interests or counseling
27 or advising regarding real estate, businesses and business opportunities
28 or timeshare interests.

29 (i) Assists or directs in procuring prospects that are calculated
30 to result in the sale, exchange, leasing or rental of real estate,
31 businesses and business opportunities or timeshare interests.

32 (j) Assists or directs in negotiating any transaction calculated or
33 intended to result in the sale, exchange, leasing or rental of real
34 estate, businesses and business opportunities or timeshare interests.

35 (k) Incident to the sale of real estate, businesses and business
36 opportunities negotiates or offers, attempts or agrees to negotiate a loan
37 secured or to be secured by any mortgage or other encumbrance on or
38 transfer of real estate, businesses and business opportunities or
39 timeshare interests subject to section 32-2155, subsection D. This
40 subdivision does not apply to mortgage brokers as defined in and subject
41 to title 6, chapter 9, article 1.

42 (l) Engages in the business of assisting or offering to assist
43 another in filing an application for the purchase or lease of, or in
44 locating or entering on, lands owned by the state or federal government.

45 (m) Claims, demands, charges, receives, collects or contracts to
46 collect an advance fee in connection with any employment enumerated in
47 this section, including employment undertaken to promote the sale or lease

1 of real property by advance fee listing, by furnishing rental information
2 to a prospective tenant for a fee paid by the prospective tenant, by
3 advertising or by any other offering to sell, lease, exchange or rent real
4 property or selling kits connected therewith. This does not include the
5 activities of any communications media of general circulation or coverage
6 not primarily engaged in advertising real estate or any communications
7 media activities that are specifically exempt from applicability of this
8 article under section 32-2121.

9 (n) Engages in any of the acts listed in subdivisions (a) through
10 (m) of this paragraph for the sale or lease of other than real property if
11 a real property sale or lease is a part of, contingent on or ancillary to
12 the transaction.

13 (o) Performs any of the acts listed in subdivisions (a) through (m)
14 of this paragraph as an employee of, or in behalf of, the owner of real
15 estate, or interest in the real estate, or improvements affixed on the
16 real estate, for compensation.

17 (p) Acts as a business broker.

18 52. "Real estate sales contract" means an agreement in which one
19 party agrees to convey title to real estate to another party on the
20 satisfaction of specified conditions set forth in the contract.

21 53. "Real estate salesperson" means a natural person who acts on
22 the person's own behalf or through and on behalf of a professional limited
23 liability company or a professional corporation engaged by or on behalf of
24 a licensed real estate broker, or by or on behalf of a limited liability
25 company, partnership or corporation that is licensed as a real estate
26 broker, to perform any act or participate in any transaction in a manner
27 included in the definition of real estate broker subject to section
28 32-2155.

29 54. "Sale" or "lease" includes every disposition, transfer, option
30 or offer or attempt to dispose of or transfer real property, or an
31 interest, use or estate in the real property, including offering the
32 property as a prize or gift if a monetary charge or consideration for
33 whatever purpose is required.

34 55. "Salesperson", when used without modification, means a natural
35 person who acts on the person's own behalf or through and on behalf of a
36 professional limited liability company or a professional corporation
37 licensed under this chapter or any person required to be licensed as a
38 salesperson under this chapter.

39 56. "School" means a person or entity that offers a course of study
40 toward completion of the education requirements leading to licensure or
41 renewal of licensure under this chapter.

42 57. "SMALL LAND SUBDIVIDER" MEANS ANY PERSON WHO DOES ANY OF THE
43 FOLLOWING:

44 (a) OFFERS FOR SALE OR LEASE SIX TO TEN LOTS OR PARCELS IN A SMALL
45 LAND SUBDIVISION.

46 (b) CAUSES LAND TO BE DIVIDED INTO A SMALL LAND SUBDIVISION FOR
47 EITHER THE PERSON WHO CAUSES THE LAND TO BE DIVIDED OR FOR OTHERS.

1 (c) UNDERTAKES TO DEVELOP A SMALL LAND SUBDIVISION.

2 58. "SMALL LAND SUBDIVISION" MEANS IMPROVED OR UNIMPROVED LAND OR
3 LANDS THAT ARE DIVIDED OR PROPOSED TO BE DIVIDED FOR THE PURPOSE OF SALE
4 OR LEASE, WHETHER IMMEDIATE OR FUTURE, WITHIN A TEN-YEAR PERIOD INTO SIX
5 TO TEN LOTS OR PARCELS IN A COUNTY THAT HAS AUTHORIZED THE USE OF SMALL
6 LAND SUBDIVISIONS PURSUANT TO SECTION 11-834.

7 59. "SMALL LAND SUBDIVISION PUBLIC REPORT" MEANS A WRITTEN NOTICE
8 AND DISCLOSURE SUBMITTED TO THE COMMISSIONER PURSUANT TO SECTION
9 32-2183.07.

10 ~~57.~~ 60. "Stock cooperative" means a corporation to which all of
11 the following apply:

12 (a) The corporation is formed or used to hold title to improved
13 real property in fee simple or for a term of years.

14 (b) All or substantially all of the shareholders of the corporation
15 each receive a right of exclusive occupancy in a portion of the real
16 property to which the corporation holds title.

17 (c) The right of occupancy may only be transferred with the
18 concurrent transfer of the shares of stock in the corporation held by the
19 person having the right of occupancy.

20 ~~58.~~ 61. "Subdivider":

21 (a) Means any person who offers for sale or lease six or more lots,
22 parcels or fractional interests in a subdivision or who causes land to be
23 subdivided into a subdivision for the ~~subdivider~~ PERSON or for others, or
24 who undertakes to develop a subdivision.

25 (b) Does not include a public agency or officer authorized by law
26 to create subdivisions.

27 ~~59.~~ 62. "Subdivision" or "subdivided lands":

28 (a) Means improved or unimproved land or lands divided or proposed
29 to be divided for the purpose of sale or lease, whether immediate or
30 future, into EITHER OF THE FOLLOWING:

31 (i) IN A COUNTY THAT HAS NOT AUTHORIZED THE USE OF SMALL LAND
32 SUBDIVISIONS PURSUANT TO SECTION 11-834, six or more lots, parcels or
33 fractional interests.

34 (ii) IN A COUNTY THAT HAS AUTHORIZED THE USE OF SMALL LAND
35 SUBDIVISIONS PURSUANT TO SECTION 11-834, ELEVEN OR MORE LOTS OR PARCELS.

36 (b) Includes a stock cooperative, lands divided or proposed to be
37 divided as part of a common promotional plan and residential condominiums
38 as defined in title 33, chapter 9.

39 (c) Does not include:

40 (i) Leasehold offerings of one year or less.

41 (ii) The division or proposed division of land located in this
42 state into lots or parcels each of which is or will be thirty-six acres or
43 more in area including to the centerline of dedicated roads or easements,
44 if any, contiguous to the lot or parcel.

45 (iii) The leasing of agricultural lands or apartments, offices,
46 stores, hotels, motels, pads or similar space within an apartment
47 building, industrial building, rental recreational vehicle community,

1 rental manufactured home community, rental mobile home park or commercial
2 building.

3 (iv) The subdivision into or development of parcels, plots or
4 fractional portions within the boundaries of a cemetery that has been
5 formed and approved pursuant to this chapter.

6 (v) A sale or lease of a lot, parcel or fractional interest that
7 occurs ten or more years after the sale or lease of another lot, parcel or
8 fractional interest if the other lot, parcel or fractional interest is not
9 subject to this article and is treated as an independent parcel unless, on
10 investigation by the commissioner, there is evidence of intent to
11 subdivide.

12 ~~60-~~ 63. "Timeshare" or "timeshare property" means real property
13 ownership or right of occupancy in real property pursuant to article 9 of
14 this chapter. For the purposes of this chapter, a timeshare is not a
15 security unless it meets the definition of a security under section
16 44-1801.

17 ~~61-~~ 64. "Trustee":

18 (a) Means a person who either:

19 (i) Is designated under section 32-2194.27 to act as a trustee for
20 an endowment-care cemetery fund.

21 (ii) Holds bare legal title to real property under a subdivision
22 trust.

23 (b) Does not include a developer, subdivider, broker or salesperson
24 within this chapter.

25 ~~62-~~ 65. "Unimproved lot or parcel" means a lot or parcel of a
26 subdivision that is not an improved lot or parcel.

27 ~~63-~~ 66. "Unsubdivided lands":

28 (a) Means land or lands divided or proposed to be divided for the
29 purpose of sale or lease, whether immediate or future, into six or more
30 lots, parcels or fractional interests and the lots or parcels are
31 thirty-six acres or more each but less than one hundred sixty acres each,
32 or that are offered, known or advertised under a common promotional plan
33 for sale or lease, except that agricultural leases shall not be included
34 in this definition.

35 (b) Includes any land that is sold and that would otherwise
36 constitute the sixth lot, parcel or fractional interest if the sale occurs
37 ten or more years after the earliest of the previous five sales and if all
38 of the sales consist of property that was originally contained within the
39 same parcel that is thirty-six acres or more and less than one hundred
40 sixty acres.

41 Sec. 3. Section 32-2108.01, Arizona Revised Statutes, is amended to
42 read:

43 32-2108.01. License applicants: fingerprint clearance cards:
44 definition

45 A. Before receiving and holding a license issued pursuant to this
46 chapter, each license applicant shall obtain a valid fingerprint clearance
47 card issued pursuant to section 41-1758.03.

1 B. The license applicant is responsible for providing the
2 department with a valid fingerprint clearance card.

3 C. The department shall not issue a license to an original license
4 applicant before receiving a valid fingerprint clearance card pursuant to
5 this section. The department may suspend a license if the licensee's
6 fingerprint clearance card is suspended and either:

7 1. If the person was convicted of the alleged crime causing the
8 fingerprint clearance card suspension, the commissioner could use the
9 conviction to deny the license application pursuant to this chapter.

10 2. The licensee fails to submit sufficient evidence to prove the
11 individual applied for a good cause exception pursuant to section
12 41-619.55 within five business days after being notified by the
13 department.

14 D. This section does not affect the department's authority to
15 otherwise issue, deny, cancel, terminate, suspend or revoke a license.

16 E. For the purposes of this section, "license applicant" means:

17 1. Each original real estate salesperson, cemetery salesperson and
18 membership camping salesperson and each original real estate broker,
19 cemetery broker and membership camping broker applicant pursuant to
20 article 2 of this chapter.

21 2. Each natural person, or for an entity applicant, any person
22 exercising control of the entity, who applies for an original certificate
23 of approval to operate a real estate school, or for a renewal certificate,
24 any natural person or person exercising control who has not previously
25 submitted a fingerprint clearance card to the department.

26 3. Any natural person, or for an entity applicant, any person
27 exercising control of the entity, for whom the department has evidence of
28 a criminal record that has not been previously reviewed or evaluated by
29 the department and who applies for a:

30 (a) License renewal pursuant to section 32-2130.

31 (b) Public report to:

32 (i) Sell or lease subdivided lands pursuant to article 4 of this
33 chapter.

34 (ii) Sell or lease unsubdivided lands pursuant to article 7 of this
35 chapter.

36 (iii) Sell or lease timeshare estates pursuant to article 9 of this
37 chapter.

38 (iv) Sell membership camping contracts pursuant to article 10 of
39 this chapter.

40 (c) **SMALL LAND SUBDIVISION PUBLIC REPORT TO SELL OR LEASE LANDS IN**
41 **A SMALL LAND SUBDIVISION PURSUANT TO ARTICLE 4 OF THIS CHAPTER.**

42 ~~(c)~~ (d) Certificate of authority to sell cemetery lots pursuant to
43 article 6 of this chapter.

44 Sec. 4. Section 32-2183.03, Arizona Revised Statutes, is amended to
45 read:

46 32-2183.03. Civil liabilities

1 A. ~~When~~ IF any part of the notice of intention filed pursuant to
2 section 32-2181 contains an untrue statement of a material fact or omits a
3 material fact required to be stated in such notice, the subdivider or
4 agent shall be liable as provided in this section to any person who
5 acquires a lot or parcel in the subdivision covered by such notice of
6 intention during such period the notice of intention remained uncorrected
7 unless at the time of such acquisition the person acquiring the lot knew
8 of such untruth or omission.

9 B. Any subdivider or agent who sells or leases a lot or parcel in a
10 subdivision in violation of section 32-2183 or by means of a public report
11 OR SMALL LAND SUBDIVISION PUBLIC REPORT that contains an untrue statement
12 of a material fact or omits a material fact required to be stated in such
13 report shall be liable to the purchaser of such lot or parcel as provided
14 in this section unless at the time of purchase the purchaser knew of the
15 untruth or omission.

16 C. It is unlawful for a subdivider or agent in selling or leasing,
17 or offering to sell or lease, any lot or parcel in a subdivision to:

18 1. Employ any device, scheme or artifice to defraud.
19 2. Obtain money or property by means of a material
20 misrepresentation with respect to any information included in the notice
21 of intention or the public report OR SMALL LAND SUBDIVISION PUBLIC REPORT
22 or with respect to any other information pertinent to the lot, parcel or
23 subdivision and on which the purchaser relies.

24 3. Engage in any transaction, practice or course of business that
25 operates or would operate as a fraud or deceit on a purchaser.

26 D. Except as provided in subsection E of this section, damages in
27 any suit brought pursuant to this section shall be the difference between
28 the purchase price of the lot or parcel plus the cost of any improvements
29 made to such lot or parcel and the following applicable amount:

30 1. The price at which such lot or parcel was sold in a bona fide
31 market transaction ~~prior to~~ BEFORE suit or judgment.

32 2. If the lot or parcel has not been sold before judgment, the
33 current market value of the lot or parcel and any improvements as of the
34 date the suit was filed.

35 E. The damages described in subsection D of this section shall not
36 exceed the dollar amount that is the difference in price or market value
37 that results from the untrue statement of material fact or omission of
38 material fact that is required to be stated in the public report.

39 F. In any action in which a violation of this section is
40 established, the purchaser shall also be entitled to recover reasonable
41 attorney fees as determined by the court. If a violation is not
42 established, the court, in its discretion, may award reasonable attorney
43 fees to the defendant.

44 G. Every person who becomes liable to make any payment pursuant to
45 this section may recover contribution as in cases of contract from any
46 person who, if sued separately, would have been liable to make the same
47 payment.

1 H. ~~in no case shall~~ The amount recoverable pursuant to this section
2 SHALL NOT exceed the sum of the purchase price of the lot or parcel, the
3 reasonable cost of improvements installed by the purchaser and reasonable
4 court costs and ~~attorneys'~~ ATTORNEY fees.

5 I. ~~Nothing contained in~~ This section ~~shall be construed to~~ DOES NOT
6 preclude any other remedies that may exist at law or in equity.

7 J. ~~No~~ AN action shall NOT be maintained to enforce any liability
8 created pursuant to subsection A or B of this section unless brought
9 within one year after the discovery of the untrue statement or the
10 omission or after such discovery should have been made by the exercise of
11 reasonable diligence. ~~No~~ AN action shall NOT be maintained to enforce any
12 liability created pursuant to subsection C of this section unless brought
13 within two years after the violation on which it is based. ~~in no event~~
14 ~~shall~~ Any such action SHALL NOT be brought by a purchaser more than three
15 years after the sale or lease to such purchaser.

16 Sec. 5. Title 32, chapter 20, article 4, Arizona Revised Statutes,
17 is amended by adding sections 32-2183.07 and 32-2183.08, to read:

18 32-2183.07. Small land subdivision public report;
19 requirements

20 A. BEFORE OFFERING LAND WITHIN A SMALL LAND SUBDIVISION FOR SALE OR
21 LEASE, A SMALL LAND SUBDIVIDER SHALL NOTIFY THE COMMISSIONER IN WRITING OF
22 THE SMALL LAND SUBDIVIDER'S INTENTION. THE SMALL LAND SUBDIVISION PUBLIC
23 REPORT NOTICE SHALL CONTAIN THE FOLLOWING:

24 1. THE NAME AND ADDRESS OF THE OWNER AND THE SMALL LAND SUBDIVIDER,
25 IF DIFFERENT THAN THE OWNER. IF THE HOLDER OF ANY OWNERSHIP INTEREST IN
26 THE LAND IS OTHER THAN AN INDIVIDUAL, SUCH AS A CORPORATION, PARTNERSHIP
27 OR TRUST, A STATEMENT NAMING THE TYPE OF LEGAL ENTITY AND LISTING THE
28 INTEREST AND THE EXTENT OF ANY INTEREST OF EACH PRINCIPAL IN THE ENTITY.
29 FOR THE PURPOSES OF THIS PARAGRAPH, "PRINCIPAL" MEANS ANY PERSON OR ENTITY
30 THAT HAS A TEN PERCENT OR MORE FINANCIAL INTEREST OR, IF THE LEGAL ENTITY
31 IS A TRUST, EACH BENEFICIARY OF THE TRUST THAT HOLDS A TEN PERCENT OR MORE
32 BENEFICIAL INTEREST.

33 2. A SURVEY OF THE LAND THAT IS THE SUBJECT OF THE PROPOSED SMALL
34 LAND SUBDIVISION AND THE LEGAL DESCRIPTION AND AREA OF THE LAND.

35 3. TRUE STATEMENTS FOR ALL OF THE FOLLOWING:

36 (a) THERE ☐ IS ☐ IS NOT LEGAL ACCESS, AS DEFINED IN
37 A.R.S. § 11-831, TO THE LANDS.

38 EXPLAIN: _____

41 (b) THERE ☐ IS ☐ IS NOT PHYSICAL ACCESS TO THE LANDS.

42 EXPLAIN: _____

45 (c) THERE ☐ IS ☐ IS NOT A STATEMENT FROM A LICENSED
46 SURVEYOR OR ENGINEER AVAILABLE STATING WHETHER THE LANDS HAVE PHYSICAL
47 ACCESS THAT IS TRAVERSABLE BY A TWO-WHEEL DRIVE PASSENGER MOTOR VEHICLE.

1 (d) THE LEGAL AND PHYSICAL ACCESS TO THE LANDS ☐ IS ☐ IS
2 NOT THE SAME.

3 EXPLAIN: _____
4 _____
5 _____

6 (e) THE ROAD(S) IS/ARE ☐ PUBLICLY MAINTAINED ☐ PRIVATELY
7 MAINTAINED ☐ NOT MAINTAINED ☐ NOT APPLICABLE. IF APPLICABLE, THERE ☐
8 IS ☐ IS NOT A RECORDED ROAD MAINTENANCE AGREEMENT.

9 (f) A PORTION OR ALL OF THE LANDS ☐ ARE ☐ ARE NOT LOCATED
10 IN A FEMA-DESIGNATED REGULATORY FLOODPLAIN.

11 EXPLAIN: _____
12 _____
13 _____

14 (g) THE LANDS ☐ ARE ☐ ARE NOT SUBJECT TO ☐ FISSURES
15 OR ☐ EXPANSIVE SOILS.

16 EXPLAIN: _____
17 _____
18 _____

19 (h) THE FOLLOWING SERVICES ARE CURRENTLY PROVIDED TO THE LANDS:
20 ☐ WATER ☐ SEWER ☐ ELECTRIC ☐ NATURAL GAS ☐ SINGLE-PARTY TELEPHONE
21 ☐ CABLE TELEVISION SERVICES.

22 (i) THE LANDS ☐ ARE ☐ ARE NOT SERVED BY A WATER SUPPLY
23 THAT REQUIRES THE TRANSPORTATION OF WATER TO THE PROPERTY. IF THE LANDS
24 WILL BE SERVED BY A WATER SUPPLY THAT REQUIRES THE TRANSPORTATION OF WATER
25 TO THE LANDS, THE NAME AND CONTACT INFORMATION OF THE WATER HAULER OR
26 WATER HAULING COMPANY THAT WILL PROVIDE THE TRANSPORTATION SERVICES TO THE
27 LANDS AND THE NAME AND LOCATION OF THE WATER SUPPLY FROM WHICH THE WATER
28 WILL BE TRANSPORTED:

29 WATER HAULER NAME: _____ PHONE: _____

30 WATER SUPPLY: _____ LOCATION: _____

31 (j) THE LANDS ARE SERVED BY ☐ A PRIVATE WATER COMPANY ☐ A
32 MUNICIPAL WATER PROVIDER ☐ A PRIVATE WELL ☐ A SHARED WELL ☐ NO
33 WELL. IF SERVED BY A SHARED WELL, THE SHARED WELL ☐ IS ☐ IS NOT
34 A PUBLIC WATER SYSTEM, AS DEFINED BY THE SAFE DRINKING WATER ACT
35 (42 U.S.C. § 300f).

36 (k) THE LANDS OR THE WATER USED ON THE LANDS ☐ ARE ☐ ARE
37 NOT. . . . THE SUBJECT OF A STATEMENT OF CLAIMANT FOR THE USE OF WATER IN
38 A GENERAL ADJUDICATION OF WATER RIGHTS ☐ UNKNOWN.

39 (l) THE LANDS ☐ DO HAVE ☐ DO NOT HAVE ON-SITE WASTEWATER
40 TREATMENT FACILITIES (I.E., STANDARD SEPTIC OR ALTERNATIVE SYSTEM TO TREAT
41 AND DISPOSE OF WASTEWATER). IF APPLICABLE:

42 (i) THE LANDS ☐ WILL ☐ WILL NOT REQUIRE INSTALLATION OF AN
43 ON-SITE WASTEWATER TREATMENT FACILITY.

44 (ii) THE ON-SITE WASTEWATER TREATMENT FACILITIES ☐ HAVE ☐ HAVE
45 NOT BEEN INSPECTED.

46 (m) THE LANDS ☐ HAVE BEEN ☐ HAVE NOT BEEN SUBJECT TO A
47 PERCOLATION TEST. ☐ UNKNOWN.

(n) THE LANDS ☐ DO HAVE ☐ DO NOT HAVE ONE OR MORE SOLAR ENERGY DEVICES THAT ARE ☐ LEASED ☐ OWNED. IF THE SOLAR ENERGY DEVICES ARE LEASED, THE NAME AND CONTACT INFORMATION OF THE LEASING COMPANY:

LEASING COMPANY NAME: _____ PHONE: _____

(o) THE LANDS ☐ DO HAVE ☐ DO NOT HAVE ONE OR MORE BATTERY ENERGY STORAGE DEVICES THAT ARE ☐ LEASED ☐ OWNED. IF THE BATTERY ENERGY STORAGE DEVICES ARE LEASED, THE NAME AND CONTACT INFORMATION OF THE LEASING COMPANY:

LEASING COMPANY NAME: _____ PHONE: _____

(p) A PORTION OR ALL OF THE LANDS ☐ ARE ☐ ARE NOT LOCATED IN A NO-FENCE DISTRICT ESTABLISHED PURSUANT TO A.R.S. TITLE 3, CHAPTER 11, ARTICLE 8. IT IS THE PROPERTY OWNER'S RESPONSIBILITY TO FENCE OUT UNWANTED LIVESTOCK USING A LAWFUL FENCE AS PRESCRIBED BY A.R.S. § 3-1426 IF THE PROPERTY IS NOT LOCATED IN A NO-FENCE DISTRICT.

(q) THE LANDS ☐ DO ☐ DO NOT MEET THE MINIMUM APPLICABLE COUNTY ZONING REQUIREMENTS OF THE APPLICABLE ZONING DESIGNATION.

(r) THE SALE OF THE LANDS ☐ DO ☐ DO NOT MEET THE REQUIREMENTS OF A.R.S. § 11-831 AND § 32-2181 REGARDING LAND DIVISIONS. IF THOSE REQUIREMENTS ARE NOT MET, THE PROPERTY OWNER MAY NOT BE ABLE TO OBTAIN A BUILDING PERMIT. IT IS UNLAWFUL PURSUANT TO A.R.S. § 11-831, SUBSECTION F AND A.R.S. § 32-2181, SUBSECTION D FOR A PERSON OR GROUP OF PERSONS TO ATTEMPT TO AVOID THE SUBDIVISION LAWS OF THIS STATE BY ACTING IN CONCERT TO DIVIDE A PARCEL OF LAND INTO SIX OR MORE LOTS OR PARCELS. THE COUNTY WHERE THE LAND DIVISION OCCURRED OR THE STATE REAL ESTATE DEPARTMENT MAY INVESTIGATE AND ENFORCE THE PROHIBITION AGAINST ACTING IN CONCERT TO UNLAWFULLY DIVIDE A PARCEL OF LAND INTO SIX OR MORE LOTS OR PARCELS. IF THE SALE OF THE LANDS DO NOT MEET THE REQUIREMENTS OF A.R.S. § 11-831 AND § 32-2181, THE DEFICIENCIES ARE THE FOLLOWING:

(s) THE LANDS ☐ ARE ☐ ARE NOT LOCATED IN THE CLEAR ZONE OF A MILITARY AIRPORT OR ANCILLARY MILITARY FACILITY, AS DEFINED IN A.R.S. § 28-8461. (MAPS ARE AVAILABLE AT THE STATE REAL ESTATE DEPARTMENT'S WEBSITE.)

(t) THE LANDS ☐ ARE ☐ ARE NOT LOCATED IN THE HIGH NOISE OR ACCIDENT POTENTIAL ZONE OF A MILITARY AIRPORT OR ANCILLARY MILITARY FACILITY, AS DEFINED IN A.R.S. § 28-8461. (MAPS ARE AVAILABLE AT THE STATE REAL ESTATE DEPARTMENT'S WEBSITE.)

(u) NOTICE: IF THE LANDS ARE LOCATED WITHIN THE TERRITORY IN THE VICINITY OF A MILITARY AIRPORT OR ANCILLARY MILITARY FACILITY, THE LANDS ARE REQUIRED TO COMPLY WITH SOUND ATTENUATION STANDARDS AS PRESCRIBED BY A.R.S. § 28-8482. (MAPS ARE AVAILABLE AT THE STATE REAL ESTATE DEPARTMENT'S WEBSITE.)

(v) THE LANDS ☐ ARE ☐ ARE NOT LOCATED UNDER MILITARY RESTRICTED AIRSPACE. (MAPS ARE AVAILABLE AT THE STATE REAL ESTATE DEPARTMENT'S WEBSITE.)

(w) THE LANDS ☐ ARE ☐ ARE NOT LOCATED IN A MILITARY ELECTRONICS RANGE AS DEFINED IN A.R.S. § 9-500.28 AND § 11-818. (MAPS ARE AVAILABLE AT THE STATE REAL ESTATE DEPARTMENT'S WEBSITE.)

(x) THE LANDS ☐ ARE ☐ ARE NOT LOCATED WITHIN THE INFLUENCE AREA OF A MILITARY INSTALLATION OR RANGE OR ARIZONA NATIONAL GUARD SITE AS DEFINED IN A.R.S. § 9-500.50 AND § 11-818.01. (MAPS ARE AVAILABLE AT THE STATE REAL ESTATE DEPARTMENT'S WEBSITE.)

(y) USE OF THE LANDS ☐ IS ☐ IS NOT LIMITED IN ANY WAY RELATING TO AN ENCUMBRANCE OF TITLE DUE TO A LIS PENDENS, A COURT ORDER OR A STATE REAL ESTATE DEPARTMENT ORDER OR A PENDING LEGAL ACTION. IF THE USE OF THE LANDS IS LIMITED DUE TO AN ENCUMBRANCE OF TITLE, THE LIMITATIONS TO THE USE ARE THE FOLLOWING:

B. ON RECEIPT OF A SMALL LAND SUBDIVISION PUBLIC REPORT, THE COMMISSIONER, UNLESS THERE ARE GROUNDS FOR DENIAL, SHALL ENSURE COMPLETENESS AND ISSUE A REGISTRATION OF THE SMALL LAND SUBDIVISION PUBLIC REPORT TO THE SMALL LAND SUBDIVIDER ALLOWING THE SALE OR LEASE IN THIS STATE OF THE LOT OR PARCELS THAT ARE THE SUBJECT OF THE SMALL LAND SUBDIVISION.

32-2183.08. Small land subdivisions; delivery; penalties

A. FOR THE PURPOSES OF A DELIVERY OF AN APPROVED SMALL LAND SUBDIVISION PUBLIC REPORT, SECTION 32-2185.06 APPLIES.

B. IN ADDITION TO, AND NOT LIMITED TO, A BUYER'S ABILITY TO SEEK RECOURSE AGAINST A SMALL LAND SUBDIVIDER IN A COURT OF COMPETENT JURISDICTION FOR ANY CIVIL LIABILITY PRESCRIBED IN SECTION 32-2183.03, THE DEPARTMENT MAY ASSESS A CIVIL PENALTY FOR EACH VIOLATION OF THIS CHAPTER PURSUANT TO SECTION 32-2185.09.

Sec. 6. Section 32-2185.06, Arizona Revised Statutes, is amended to read:

32-2185.06. Contract disclosures; contract disclaimers

All agreements and contracts for the purchase or lease of subdivided land from a subdivider, owner or agent shall clearly and conspicuously disclose, in accordance with regulations adopted by the commissioner, the nature of the document, the purchaser's right to receive a copy of the public report OR SMALL LAND SUBDIVISION PUBLIC REPORT and, in the case of unimproved lots or parcels not exempted by regulation pursuant to section 32-2185.01, the purchaser's right to rescind the agreement as provided in section 32-2185.01. Any contract, agreement or lease ~~which~~ THAT fails to make disclosures pursuant to this section shall not be enforceable against the purchaser. If the transaction involves a lot or parcel offered for present or future residential use, the contract, agreement or lease shall not waive or disclaim liability for prior material representations relied ~~upon~~ ON by the purchaser made by the seller and such seller's agents concerning the subdivision and lot or parcel involved, and any provision attempting to waive or disclaim liability is void.

1 Sec. 7. Section 32-2185.09, Arizona Revised Statutes, is amended to
2 read:

3 32-2185.09. Civil penalties; limitation

4 A. A subdivider or agent ~~who~~ THAT is subject to the jurisdiction of
5 the department, ~~who~~ THAT violates this chapter or any rule adopted or
6 order issued by the commissioner or ~~who~~ THAT engages in any unlawful
7 ~~practices defined~~ PRACTICE PRESCRIBED in section 44-1522 with respect to
8 the sale or lease of subdivided lands may be assessed a civil penalty by
9 the commissioner, after a hearing, in an amount not to exceed \$2,000 for
10 each infraction. An infraction that concerns more than one lot in a
11 subdivision is a single infraction for the purposes of this section.

12 B. A proceeding ~~for imposition of~~ TO IMPOSE a civil penalty or ~~for~~
13 ~~suspension~~ TO SUSPEND or ~~revocation of~~ REVOKE a license for a violation of
14 this article or any rule adopted or order issued by the commissioner must
15 be commenced within five years of actual discovery by the department or
16 discovery that should have occurred with the exercise of reasonable
17 diligence by the department.

18 C. A subdivider ~~who~~ THAT sells or leases in this state any lots,
19 parcels or fractional interest in a subdivision without first obtaining a
20 public report from the commissioner except as provided in section
21 32-2181.01 or 32-2181.02 for a lot or lots created from and after
22 December 31, 2008 and on an order issued by the commissioner may be
23 assessed a civil penalty by the commissioner, after a hearing, in an
24 amount not to exceed \$5,000 for each infraction. A proceeding ~~for the~~
25 ~~imposition of~~ TO IMPOSE a civil penalty or ~~suspension~~ TO SUSPEND or
26 ~~revocation of~~ REVOKE a license for a violation of this subsection or any
27 rule adopted or order issued by the commissioner must be commenced within
28 five years after actual discovery by the department or discovery that
29 should have occurred with the exercise of reasonable diligence by the
30 department.

31 D. A SMALL LAND SUBDIVIDER THAT SELLS OR LEASES IN THIS STATE ANY
32 LOTS OR PARCELS IN A SMALL LAND SUBDIVISION WITHOUT FIRST OBTAINING A
33 REGISTRATION OF A SMALL LAND SUBDIVISION PUBLIC REPORT FROM THE
34 COMMISSIONER AND ON AN ORDER ISSUED BY THE COMMISSIONER MAY BE ASSESSED A
35 CIVIL PENALTY BY THE COMMISSIONER, AFTER A HEARING, IN AN AMOUNT NOT TO
36 EXCEED \$5,000 FOR EACH INFRACTION.

37 E. A PROCEEDING TO IMPOSE A CIVIL PENALTY OR TO SUSPEND OR REVOKE A
38 LICENSE FOR A VIOLATION OF SUBSECTION D OF THIS SECTION OR ANY RULE
39 ADOPTED OR ORDER ISSUED BY THE COMMISSIONER MUST BE COMMENCED WITHIN FIVE
40 YEARS AFTER ACTUAL DISCOVERY BY THE DEPARTMENT OR DISCOVERY THAT SHOULD
41 HAVE OCCURRED WITH THE EXERCISE OF REASONABLE DILIGENCE BY THE DEPARTMENT.

42 Sec. 8. Section 33-422, Arizona Revised Statutes, is amended to
43 read:

44 33-422. Land divisions; recording; disclosure affidavit

45 A. A seller of five or fewer parcels of land, other than subdivided
46 land, in an unincorporated area of a county and any subsequent seller of
47 such a parcel shall complete and furnish a written affidavit of disclosure

1 to the buyer at least seven days before the transfer of the property and
2 the buyer shall acknowledge receipt of the affidavit.

3 B. The affidavit must be written in twelve-point type.

4 C. A release or waiver of a seller's liability arising out of any
5 omission or misrepresentation contained in an affidavit of disclosure is
6 not valid or binding on the buyer.

7 D. The buyer has the right to rescind the sales transaction for a
8 period of five days after the affidavit of disclosure is furnished to the
9 buyer.

10 E. The seller shall record the executed affidavit of disclosure at
11 the same time that the deed is recorded. The county recorder is not
12 required to verify the accuracy of any statement in the affidavit of
13 disclosure. A subsequently recorded affidavit supersedes any previous
14 affidavit.

15 F. The affidavit of disclosure shall contain all of the following
16 disclosures, be completed by the seller, meet the requirements of section
17 11-480 and follow substantially the following form:

18 When recorded mail to:

19 _____
20 _____
21 _____
22 _____

23 Affidavit of Disclosure
24 Pursuant to A.R.S. § 33-422

25 I, _____ (seller(s))
26 being duly sworn, hereby make this affidavit of disclosure
27 relating to the real property situated in the unincorporated
28 area of:

29 _____, County, State of Arizona, located at:

30 _____
31 and legally described as:

32 (Legal description attached hereto as exhibit "A")
33 (property).

34 1. There ☐ is ☐ is not legal access to the property, as
35 defined in A.R.S. § 11-831 ☐ unknown

36 Explain: _____
37 _____
38 _____

39 2. There ☐ is ☐ is not physical access to the property.
40 ☐ unknown

41 Explain: _____
42 _____
43 _____

- 1 3. There ☐ is ☐ is not a statement from a licensed
2 surveyor or engineer available stating whether the property has
3 physical access that is traversable by a two-wheel drive
4 passenger motor vehicle.
- 5 4. The legal and physical access to the property ☐ is ☐ is not . .
6 . . the same....☐ unknown ☐ not applicable.
7 Explain: _____
8 _____
9 _____
- 10 *If access to the parcel is not traversable by emergency*
11 *vehicles, the county and emergency service providers may not*
12 *be held liable for any damages resulting from the inability to*
13 *traverse the access to provide needed services.*
- 14 5. The road(s) is/are ☐ publicly maintained ☐ privately
15 maintained ☐ not maintained ☐ not applicable. If
16 applicable, there ☐ is ☐ is not a recorded road
17 maintenance agreement.
18 *If the roads are not publicly maintained, it is the*
19 *responsibility of the property owner(s) to maintain the roads*
20 *and roads that are not improved to county standards and*
21 *accepted for maintenance are not the county's responsibility.*
- 22 6. A portion or all of the property ☐ is ☐ is not
23 located in a FEMA designated regulatory floodplain. If the
24 property is in a floodplain, it may be subject to floodplain
25 regulation.
- 26 7. The property ☐ is ☐ is not subject to ☐ fissures or
27 ☐ expansive soils. ☐ unknown
28 Explain: _____
29 _____
30 _____
- 31 8. The following services are currently provided to the property:
32 ☐ water ☐ sewer ☐ electric ☐ natural gas ☐ single
33 party telephone ☐ cable television services.
- 34 9. The property ☐ is ☐ is not served by a water supply
35 that requires the transportation of water to the property. If
36 the property is served by a water supply that requires the
37 transportation of water to the property, the seller shall
38 disclose the name and contact information of the water hauler
39 or water hauling company that is currently providing the
40 transportation services to the property and the name and
41 location of the water supply from which the water is currently
42 being transported.
43 Water hauler name: _____ Phone: _____
44 Water supply: _____ Location: _____

- 1 10. The property is served by ☐ a private water company ☐ a
2 municipal water provider ☐ a private well ☐ a shared well
3 ☐ no well. If served by a shared well, the shared well ☐ is
4 ☐ is not a public water system, as defined by the safe
5 drinking water act (42 ~~United States Code~~ U.S.C. § 300f).
6 *Notice to buyer: If the property is served by a well, a*
7 *private water company or a municipal water provider the*
8 *Arizona department of water resources may not have made a*
9 *water supply determination. For more information about water*
10 *supply, contact the water provider.*
- 11 11. The property or the water used on the property ☐ is ☐ is not
12 the subject of a statement of claimant for the use of water in
13 a general adjudication of water rights. ☐ unknown.
14 *This is a lawsuit to determine the use of and relative*
15 *priority of water rights. A map of adjudicated areas is*
16 *available at the website of the department of water resources.*
- 17 12. The property ☐ does have ☐ does not have an on-site
18 wastewater treatment facility (i.e., standard septic or
19 alternative system to treat and dispose of wastewater).
20 ☐ unknown. If applicable: a) The property ☐ will ☐ will not
21 require installation of an on-site wastewater treatment
22 facility; b) The on-site wastewater treatment facility ☐ has
23 ☐ has not been inspected.
- 24 13. The property ☐ has been ☐ has not been subject to a
25 percolation test. ☐ unknown.
- 26 14. The property ☐ does have ☐ does not have one or more solar
27 energy devices that are ☐ leased ☐ owned.
28 *If the solar energy devices are leased, the seller shall*
29 *disclose the name and contact information of the leasing*
30 *company.*
31 *Leasing company name: _____ Phone: _____*
- 32 15. The property ☐ does have ☐ does not have one or more battery
33 energy storage devices that are ☐ leased ☐ owned.
34 If the battery energy storage devices are leased, the seller
35 shall disclose the name and contact information of the leasing
36 company.
37 *Leasing company name: _____ Phone: _____*
- 38 16. A PORTION OR ALL OF THE PROPERTY ☐ IS ☐ IS NOT
39 LOCATED IN A NO-FENCE DISTRICT ESTABLISHED PURSUANT TO A.R.S.
40 TITLE 3, CHAPTER 11, ARTICLE 8. IT IS THE PROPERTY OWNER'S
41 RESPONSIBILITY TO FENCE OUT UNWANTED LIVESTOCK USING A LAWFUL
42 FENCE AS PRESCRIBED BY A.R.S. § 3-1426 IF THE PROPERTY IS NOT
43 LOCATED IN A NO-FENCE DISTRICT.
- 44 ~~16.~~ 17. The property ☐ does ☐ does not meet the minimum
45 applicable county zoning requirements of the applicable zoning
46 designation.

1 ~~17.~~ 18. The sale of the property ☐ does ☐ does not . . . meet the
2 requirements of A.R.S. § 11-831 and § 32-2181 regarding land
3 divisions. If those requirements are not met, the property
4 owner may not be able to obtain a building permit. It is
5 unlawful pursuant to A.R.S. § 11-831, subsection F and A.R.S.
6 § 32-2181, subsection D for a person or group of persons to
7 attempt to avoid the subdivision laws of this state by acting
8 in concert to divide a parcel of land into six or more lots or
9 parcels. The county where the land division occurred or the
10 state real estate department may investigate and enforce the
11 prohibition against acting in concert to unlawfully divide a
12 parcel of land into six or more lots or parcels. The seller or
13 property owner shall disclose each of the deficiencies to the
14 buyer.

15 Explain: _____

16
17
18 ~~18.~~ 19. The property ☐ is ☐ is not located in the clear zone of
19 a military airport or ancillary military facility, as defined
20 in A.R.S. § 28-8461. (Maps are available at the state real
21 estate department's website.)

22 ~~19.~~ 20. The property ☐ is ☐ is not located in the high noise or
23 accident potential zone of a military airport or ancillary
24 military facility, as defined in A.R.S. § 28-8461. (Maps are
25 available at the state real estate department's website.)

26 ~~20.~~ 21. Notice: If the property is located within the territory in
27 the vicinity of a military airport or ancillary military
28 facility, the property is required to comply with sound
29 attenuation standards as prescribed by A.R.S. § 28-8482. (Maps
30 are available at the state real estate department's website.)

31 ~~21.~~ 22. The property ☐ is ☐ is not located under military
32 restricted airspace. ☐ unknown. (Maps are available at the
33 state real estate department's website.)

34 ~~22.~~ 23. The property ☐ is ☐ is not located in a military
35 electronics range as defined in A.R.S. § 9-500.28 and § 11-818.
36 ☐ unknown. (Maps are available at the state real estate
37 department's website.)

38 ~~23.~~ 24. The property ☐ is ☐ is not located within the influence
39 area of a military installation or range or Arizona national
40 guard site as defined in ~~sections~~ A.R.S. § 9-500.50 and
41 § 11-818.01 (Maps are available at the state real estate
42 department website.)

43 ~~24.~~ 25. Use of the property ☐ is ☐ is not limited in any way
44 relating to an encumbrance of title due to a lis pendens, a
45 court order or a state real estate department order or a
46 pending legal action. If the use of the property is limited

1 due to an encumbrance of title, the seller or property owner
2 shall disclose the limitations to the buyer.

3 Explain: _____

4 _____
5 _____
6 This affidavit of disclosure supersedes any previously
7 recorded affidavit of disclosure.

8 I certify under penalty of perjury that the information
9 contained in this affidavit is true, complete and correct
10 according to my best belief and knowledge.

11 Dated this ____ (date) ____ day of ____ (year) ____ by:

12 Seller's name (print): _____ Signature: _____

13 Seller's name (print): _____ Signature: _____

14 State of Arizona)

15) ss.

16 County of _____)

17 Subscribed and sworn before me this ____ (date) ____ day
18 of ____ (year) ____, by _____.

19 _____
20 Notary public

21 My commission expires:

22 ____ (date) ____

23 Buyer(s) hereby acknowledges receipt of a copy of this
24 affidavit of disclosure this ____ (date) ____ day
25 of ____ (year) ____

26 Buyer's name (print): _____ Signature: _____

27 Buyer's name (print): _____ Signature: _____

28 G. For the purposes of this section, seller and subsequent seller
29 do not include a trustee of a deed of trust who is selling property by a
30 trustee's sale pursuant to chapter 6.1 of this title or any officer who is
31 selling property by execution sale pursuant to title 12, chapter 9 and
32 chapter 6 of this title. If the seller is a trustee of a subdivision trust
33 as defined in section 6-801, the disclosure affidavit required by this
34 section shall be provided by the beneficiary of the subdivision trust.

35 Sec. 9. Section 45-108, Arizona Revised Statutes, is amended to
36 read:

37 45-108. Evaluation of subdivision water supply and small land
38 subdivision; definitions

39 A. In areas outside of active management areas established pursuant
40 to chapter 2, article 2 of this title, the developer of a proposed
41 subdivision, including dry lot subdivisions, regardless of subdivided lot
42 size, ~~prior to recordation~~ OR OF A PROPOSED SMALL LAND SUBDIVISION BEFORE
43 RECORDING of the plat, shall submit plans for the water supply for the
44 subdivision OR SMALL LAND SUBDIVISION and demonstrate the adequacy of the
45 water supply to meet the needs projected by the developer to the
46 director. The director shall evaluate the plans and issue a report on the
47 plans.

1 B. The director shall evaluate the proposed source of water for the
2 subdivision OR SMALL LAND SUBDIVISION to determine whether there is an
3 adequate water supply for the subdivision OR SMALL LAND SUBDIVISION, and
4 shall forward a copy of the director's report to the state real estate
5 commissioner and the city, town or county responsible for platting the
6 subdivision OR SMALL LAND SUBDIVISION.

7 C. The director may designate cities, towns and private water
8 companies as having an adequate water supply by reporting that designation
9 to the water department of the city or town or private water company and
10 the state real estate commissioner.

11 D. As an alternative to designation under subsection C of this
12 section, the director may designate a city or town that has entered into a
13 contract with the United States secretary of the interior or a county
14 water authority established pursuant to chapter 13 of this title for
15 permanent supplies of Colorado river water for municipal and industrial
16 use as having an adequate water supply if all of the following apply:

17 1. The city or town has entered into a contract with each private
18 water company that serves water within the city or town to provide
19 Colorado river water to those private water companies.

20 2. The Colorado river water for which the city or town has
21 contracted is sufficient together with other water supplies available to
22 the city or town and the private water companies that serve water within
23 that city or town to provide an adequate supply of water for the city or
24 town.

25 3. The director finds that new subdivisions OR SMALL LAND
26 SUBDIVISIONS within the city or town will be served primarily with
27 Colorado river water by the city or town or one of the private water
28 companies that serve water within that city or town.

29 E. The director shall not require a developer to submit plans for
30 the water supply pursuant to subsection A of this section if either:

31 1. Both of the following apply:

32 (a) The developer has obtained a written commitment of water
33 service from cities, towns or private water companies that have been
34 designated as having an adequate water supply.

35 (b) That city, town or private water company has been designated as
36 having an adequate water supply pursuant to subsection C of this section.

37 2. All of the following apply:

38 (a) The city or town has been designated as having an adequate
39 water supply pursuant to subsection D of this section.

40 (b) The developer has obtained a written commitment of water
41 service from the city or town or a private water company that serves water
42 within that city or town.

43 (c) The developer has obtained the written concurrence of the city
44 or town that has been designated.

45 F. The director may revoke a designation made pursuant to this
46 section when the director finds that the water supply may become
47 inadequate.

- 1 G. ~~The state of Arizona~~ THIS STATE and the director or department
2 ~~shall~~ ARE not ~~be~~ liable for any report, designation or evaluation prepared
3 in good faith pursuant to this section.
- 4 H. If the director receives written notice from the board of
5 supervisors of a county that it has adopted the provision authorized by
6 section 11-823, subsection A, the director shall give written notice of
7 the provision to the mayors of all cities and towns in the county. A city
8 or town that receives the notice shall comply with section 9-463.01,
9 subsections J, K, L, M and N.
- 10 I. For the purposes of this section: ~~;~~
- 11 1. "Adequate water supply" means both of the following:
- 12 ~~1.~~ (a) Sufficient groundwater, surface water or effluent of
13 adequate quality will be continuously, legally and physically available to
14 satisfy the water needs of the proposed use for at least one hundred
15 years.
- 16 ~~2.~~ (b) The financial capability has been demonstrated to construct
17 the water facilities necessary to make the supply of water available for
18 the proposed use, including a delivery system and any storage facilities
19 or treatment works. The director may accept evidence of the construction
20 assurances required by section 9-463.01, 11-823 or 32-2181 to satisfy this
21 requirement.
- 22 2. "SMALL LAND SUBDIVISION" HAS THE SAME MEANING PRESCRIBED IN
23 SECTION 32-2101.
- 24 3. "SUBDIVISION" HAS THE SAME MEANING PRESCRIBED IN SECTION
25 32-2101.
- 26 Enroll and engross to conform
- 27 Amend title to conform

GAIL GRIFFIN

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